

ibility for the philosophy and methods that provided those returns. After all, they are why you are reading these pages.

I don't claim that mine is the only way to confront the market. I invest in small companies with growing earnings whose stocks I still consider good value. I expect that most of my readers also will want exposure to other stocks and strategies. That's fine with me. There are many plausible investment strategies. Any of them can be made to succeed if the practitioner has intelligence and creativity and consistency. But perhaps I can convince you that my approach to the market is one way you, too, should adopt.

Maybe you buy stocks on your own, maybe you invest through mutual funds, maybe you do both. Whatever your way, you are still the one who is ultimately responsible for how your money is invested and what kind of return it brings you. I will explain how I select stocks and when I am likely to sell them, which I hope will be useful to direct investors. But even mutual fund investors have to understand what the managers they hire do with their money. I will try in this book to take you inside one fund's offices and one manager's mind, to give you an idea of how Acorn's merry band goes about its business.

There is little in these pages that is difficult to understand. There are no Greek-letter equations or directions for tearing apart balance sheets. What I will emphasize are the principles, more than the details, of investing. We'll tackle the big-picture questions:

Do you really have to choose between "growth" and "value" stocks or funds?

How reliable is the growth concept, anyway?

How do you get a handle on all those stocks and funds so you can be a real investor instead of a rudderless trader?

Is international investing just a fad?

Is there a time when you should sell your stocks or fund shares and just sit on the sideline for a while?